

CHAPTER 4

Historical Roots of Inequality in Latin America

It is well known that no other region has as extreme inequality in wealth or income as Latin America. This chapter addresses some basic questions about the roots of this inequality. Has Latin America always been more unequal than other regions? What does the historical record reveal about comparative inequality?

Following Engerman and Sokoloff (1997, 2000, 2002) and Acemoglu, Johnson, and Robinson (2001, 2002), the authors of this chapter argue that the contemporary situation cannot be understood without recognizing that extreme inequality emerged soon after the Europeans began to colonize the Americas half a millennium ago, and has been reflected in the institutions they put in place. Both this initial inequality and institutions were shaped largely by the factor endowments that the Europeans found in Central and South America, rather than the nature of the colonial powers themselves. Although these colonies ultimately gained independence and the development of technology and the world economy brought about important changes, extreme inequality persisted into the 19th and 20th centuries because the evolution of political and economic institutions tended to reproduce and reinforce highly unequal distributions of wealth, human capital, and political influence.

The difficulties of overcoming gross disparities in circumstances became all the more formidable during the late 19th century, when major increases occurred in the relative returns on land—an asset with extraordinarily concentrated ownership—and on education, in which Latin American societies were slow to invest. A legacy of political institutions bordering on authoritarianism also spurred inequality by discouraging the evolution of truly consolidated democracies. Finally, the “burden of history” must be considered. If the currently very high levels of inequality in Latin America are the result of long historical processes, does this mean that they are immutable? What can be done to turn this pattern around?

4.1. Factor endowments, inequality, and institutions

Although factor endowments, technology, and relative scarcity have important implications for inequality, their effects are filtered through economic, social, and political institutions. Economic

and political institutions define and enforce property rights and provide the legal framework within which markets and other voluntary agreements between private agents are organized. Thus, they have a fundamental impact upon the distributions of income, capital, and political standing. There is no doubt that the colonies established by the Europeans in South and Central America were characterized by extreme inequality from the beginning, but institutions ultimately account for its persistence. The basis for the initial inequality is in some ways easy to understand. There were very few Europeans among much larger populations of indigenous peoples and slaves, but they were greatly advantaged by their higher levels of human capital (that is, knowledge of technology and the sorts of legal and economic institutions established in the colonies), wealth, and legal standing. However, it is institutions that must be considered to gain understanding of why this inequality persisted for nearly 500 years and generated patterns that can still be seen today.

Brazil, like many other European colonies with soils and climates suitable for cultivating sugar—the most valuable commodity in world trade from the late 16th through the 18th centuries—rather quickly developed a vibrant agricultural sector oriented toward exploiting the commodity's comparative advantage. With the “technology” of gang labor, sugar could be produced at a very low cost on large slave plantations. Brazilian planters tapped the readily available supply made possible by a world market in slaves. In the country's first 250 years, roughly 70 percent of the immigrants to this Portuguese colony arrived in chains. Europeans could do very well in Brazil's booming economy, which attracted more than 25 percent of those people who chose to come to the Americas through 1760. Although the fraction of the population that was white and privileged rose over time (from 7.4 percent in 1650 to 23.4 percent in 1825), the structure of Brazilian society did not change, and remained dominated by a small but entrenched elite.

Spanish America also came to be characterized by extreme inequality early in its history. The most powerful country in Europe during the 16th century, Spain was the leader in colonizing the New World. It chose to focus its efforts on areas such as Mexico and Peru, establishing colonies that were characterized by both a substantial native population surviving contact with the European colonizers and by distribution among a privileged few of claims to enormous blocs of land, mineral resources, and native labor. Among the many examples of institutions that aided members of the elite and offered little to the bulk of the population were the *encomienda* (which gave Spanish conquistadors the right to Amerindian labor), the *mita* (a system of forced labor used in the mines), and the *repartimiento* (the forced sale of goods to Indians, typically at highly inflated prices).

The resulting large-scale estates and mines, established early in the histories of these colonies, were to some degree based on pre-conquest social organizations in which Native American elites extracted tribute from the general population. These arrangements endured even when principal production activities were lacking in economies of scale. Although small-scale production was typical of the grain agriculture sector during this era, the essentially nontradable property rights to tribute (in the form of labor and other resources) from rather sedentary groups of natives gave landholders the means and the motive to operate on a large scale.

The small group of elites that enjoyed large rents had the political power to protect their interests, and protect them they did. Severe restrictions on trade routes and on further immigration from Europe bolstered their position and hindered the ability of regions of New

Spain without substantial native populations (such as Argentina and Uruguay) to attract resources or otherwise compete with colonial centers in Bolivia, Mexico, and Peru until late in the 18th century. Despite their small share of the population—less than 20 percent as late as 1825—people of European descent living in Spanish America benefited from greater wealth, human capital, and political influence than did the rest of the population, and were therefore able to shape policies and institutions to their advantage. These circumstances in turn perpetuated extreme inequality, and conditions changed little after the colonies gained independence. The elites maintained effective control in the new republics and the fundamental basis for economic inequality remained the same.

It is illustrative to consider what happened to the European colonies in the northern part of North America, where initial conditions were quite different and a much greater degree of equality prevailed. This relative equality, however, was not due to the original intentions of the colonial powers or of the early colonizers. When the English set up their colony at Jamestown, Virginia, in 1607, for example, the original plan was inspired by the experience of the Spaniards in Latin America. The English looked for gold and tried to capture the local Algonquian chief Powhatan, in the hope that this would empower them in the same way that the capture of Atahulapa had for Pizarro in Peru in 1532. This strategy proved to be an utter failure, however, and a new strategy had to be developed when the colonists starved and the Virginia Company went bankrupt (see Morgan 1975).

In addition, the English, French, and Dutch learned that there was no gold and few indigenous people to exploit, and that the soils and climates of North America would not support the production of highly profitable crops such as sugarcane (and thus large slave plantations). The reality was that land was cheap and labor was costly. Such circumstances were radically different from those found elsewhere in the hemisphere, and fostered a remarkable degree of equality. Virginia and other colonies had to compete with each other to attract migrants by providing favorable working conditions to even unskilled laborers coming to North America as indentured servants. Attempts to establish tenant agriculture and the hierarchical social structures of England—such as in Maryland under Lord Baltimore and in Pennsylvania under William Penn—were repeatedly frustrated by the reality of factor endowments and initial circumstances. Labor scarcity made for high wages, but also low returns on land, and thus limited prospects for attaining gentlemanly status. In the words of David Galenson, the noted economic historian of colonial America (Galenson 1996, p. 144):

Although the establishment of large estates to be worked by tenants and landless laborers was the initial model on which these proprietary colonies were usually based, the greater economic power conferred on settlers by the New World's labor scarcity prevented these English tenures and practices from effectively taking hold, and proprietors were often forced to adapt by simply selling their land outright to settlers.

Relatively few Europeans chose to migrate to New England and Canada (net migration to these areas was actually negative during the early period), but those who did came to enjoy greater equality, protection of the law, and institutions that were in the long run more conducive to widespread participation in the commercial economy, investment, and economic growth. The populations of these colonies grew primarily due to a healthy excess of births over deaths until

early industrialization got under way, and consequently European perceptions of the opportunities available in the region changed. From these conditions emerged a society in which the population was relatively homogeneous and there was relative (compared to most of the hemisphere) equality in wealth, human capital, and ultimately political influence.

Of course, Native Americans and African Americans did not enjoy the same conditions as did whites. However, these groups accounted for a much smaller proportion of the population than in colonies established elsewhere, and the pattern of institutions in the United States was established before the arrival of large numbers of slaves (see [Table 4.1](#)).

What was key to the formation of colonial institutions was not the identity of the colonizing power, but rather the initial conditions in the colonies (see Engerman and Sokoloff 1997 and Acemoglu, Johnson, and Robinson 2001). Thus, British colonies such as Guyana, British Honduras, and Jamaica developed degrees of inequality, economic structures, and institutions that looked very much like those in neighboring colonies established by other European powers. Similarly, Spanish colonies that had small populations of Native Americans, such as Argentina, Costa Rica, and Uruguay, seemed to follow significantly different paths of institutional development than did those with factor endowments that disposed them toward extreme inequality. The sharp contrasts in many institutional dimensions between Costa Rica—which had relatively few Native Americans—and Guatemala is well-known.

TABLE 4.1.

The distribution and composition of the population in New World economies (percent)

<i>Colonial region and year</i>	<i>Composition of population</i>			<i>Share in New World population</i>
	<i>White</i>	<i>Black</i>	<i>Native American</i>	
Spanish America				
1570	1.3	2.5	96.3	83.5
1650	6.3	9.3	84.4	84.3
1825	18.0	22.5	59.5	55.2
1935	35.5	13.3	50.4	30.3
Brazil				
1570	2.4	3.5	94.1	7.6
1650	7.4	13.7	78.9	7.7
1825	23.4	55.6	21.0	11.6
1935	41.0	35.5	23.0	17.1
United States and Canada				
1570	0.2	0.2	99.6	8.9
1650	12.0	2.2	85.8	8.1
1825	79.6	16.7	3.7	33.2
1935	89.4	8.9	1.4	52.6

Source: Engerman and Sokoloff 1997.

Another example, however, concerns a broader pattern influencing the capabilities of local governments. The lowest level of Spanish administration was the *cabildo*, a council that at least nominally had the power to levy taxes and held responsibility for administering municipal services such as schools. The *cabildo* was generally appointed by higher officials, who were

themselves appointed by the Spanish Crown. Yet there was the possibility for a *cabildo abierto*, or open council, where all the *vecinos*, or citizens, could meet to express their opinions and attempt to influence policy. This institution was the closest thing to a truly democratic entity in Spanish Latin America. Noting that these meetings were seldom (if ever) held in many areas, such as colonial Peru, Lang (1975, p. 28) has suggested that:

Relative insignificance was often the best guarantee that a town would retain all of its privileges unrestricted by subsequent clashes between the *cabildo* and various bureaucratic bodies. Santiago and Buenos Aires ... considered to be marginal and undesirable places, convened the *cabildo abierto* numerous times during the Hapsburg era.

Thus, the political variation within the Spanish colonies strongly supports the notion that it was initial conditions that mattered most for the development of institutions.

4.2. The persistence of inequality: the colonial period

Patterns of inequality persisted once they were established during the early colonial period. This occurred because the initial nexus of institutions survived, as did the rationale for these institutions. Even though the century after the conquest of the continent saw a huge collapse of the indigenous population of Latin America (the conventional estimate being that the 1492 population declined by about 90 percent during the following century), exploiting Indian labor and resources remained the most attractive strategy whenever it was feasible. Colonial institutions often responded to the population collapse simply by allowing for more efficient exploitation of the remaining indigenous peoples. In Peru, the reforms of Viceroy Toledo in the 1570s concentrated the indigenous into urban centers in order to be better able to mobilize them to work in the silver mines of Potosi. Even the Bourbon reforms in the second half of the 18th century were meant only to rationalize and increase the efficiency of the system (from the point of view of the Spanish state), not to fundamentally alter it.

The situation was similar in the United States, despite the fact that very different sorts of institutions persisted there. For example, even though the British Crown was at times able to effectively intervene and restrain or overrule colonial legislatures (such as when Charles II abolished the practice of universal male suffrage in Virginia), they remained a vital force.

4.3. The persistence of inequality: post-independence

Like the United States, most of Latin America had fought for, and won, independence from their colonial masters by the early 19th century. Despite the rhetoric of the revolutionary movement—and the fact that nearly all of the new countries were nominal democracies—the political break from Spain appears to have yielded little or no reduction in the extent of inequality throughout the continent as a whole. Indeed, in most Latin American societies, inequality probably increased during the following decades.

On the face of it, this appears to be much harder to account for than persistence of inequality during the colonial period. The fundamental reason for the persistence of extreme inequality appears to have been the continued pattern of institutional change that favored the interests of the elite and provided the bulk of the population with only limited access to economic opportunities. Given the disparities in resources that were a legacy of the colonial period, it should be no surprise that the Creole elite was quickly able to regain effective control of the independent countries and determine the general structure of institutions.

Indeed, in several cases, most notably Mexico, independence was favored precisely because it enabled domestic elites to avoid liberalizing currents that were emerging from Spain. This was particularly true after the writing of the Cadiz Constitution in 1812. Peter Bakewell (Bakewell 1997, p. 377) sums up the consensus on this issue when he notes that “Mexican independence in 1821 has long been viewed as a reaction to the liberalism of the revived Spanish Cortes, a rejection by influential conservative Creoles.” Thus, independence did not fundamentally alter the structures of political power in Latin America.

An important study of institutional persistence in 19th century Latin America is that by Woodward (1966) on Guatemala. He shows that the economic life of Guatemala during the colonial period was controlled by a merchant guild called the *Consulado de Comercio*, the members of which continued to control the economy after independence. As Woodward (1966, p. 34) notes, “The merchants continued to hold their exclusive court privilege until 1871. Little or no change was made in the basic concept of justice before that year. As in the 1790s, in the 1860s the wealthy, aristocratic merchants continued to rely on their own court to interpret justice in the best interests of their own class, and in maintaining their leadership over the commerce of the land.” Woodward also points out (1966, p. xiv) that “This seemingly paradoxical existence of a royal institution under a republican government is explained by the nature of the government which ruled Guatemala from 1839 to 1871. Republican in form...the monopolistic position of the *Consulado* was consistent with the policies and objectives of the regime.”

As noted above, truly representative institutions never really developed during the colonial period in Spanish America, while the relatively representative legislative assemblies were established quite early in most of the British colonies in North America. This contrast in political inequality, along with corresponding variation in economic inequality, endured into the 19th century and beyond. The persistence of these radical disparities in the distribution of political power can be seen by examining both the laws governing who was entitled to vote, as well as the fraction of the population that actually participated in elections.

Since most of the societies in the Americas were nominally republican democracies by the mid-19th century, this sort of information had a direct bearing on (although it likely understates) the extent to which elites—whose position was based largely on wealth, human capital, race, and gender—were able to wield disproportionate influence in the formation and implementation of government policies. The understatement arises not only from the advantages elites had in making effective use of informal channels of political influence (including an approach based on the force of arms), but also from the fact that many elections were accompanied by fraud and, in the absence of an effective secret ballot, explicit or implicit coercion (see Graham 1990 on the case of Brazil).

Table 4.2 summarizes information about how the right to vote was restricted across New World societies in the late 19th and early 20th centuries. The estimates reveal that although it was common in all countries to give the right to vote only to adult males until the 20th century, the United States and Canada were the clear leaders in doing away with restrictions based on wealth and literacy, and a much higher proportion of the population voted in these countries than anywhere else in the Americas. Not only did the United States and Canada adopt the secret ballot and extend the franchise to even the poor and illiterate much earlier—although restrictions were reintroduced in the United States in the 1890s at the expense of African Americans—but the proportion of the population that voted was at least a half-century ahead of even the most progressive and most equal countries in South America (namely, Argentina, Costa Rica, and Uruguay).

TABLE 4.2.

Laws governing the franchise and the extent of voting in selected North and South American countries, 1840–1940

<i>Period and country</i>	<i>Year</i>	<i>Lack of secrecy in balloting</i>	<i>Wealth requirement</i>	<i>Literacy requirement</i>	<i>Percent of the population voting</i>
1840–80					—
Chile	1869	No	Yes	Yes	1.6
	1878	No	No	No ^a	—
Costa Rica	1890	Yes	Yes	Yes	—
Ecuador	1848	Yes	Yes	Yes	0.0
	1856	Yes	Yes	Yes	0.1
Mexico	1840	Yes	Yes	Yes	—
Peru	1875	Yes	Yes	Yes	—
Uruguay	1840	Yes	Yes	Yes	—
	1880	Yes	Yes	Yes	—
Venezuela	1840	Yes	Yes	Yes	—
	1880	Yes	Yes	Yes	—
Canada	1867	Yes	Yes	No	7.7
	1878	No	Yes	No	12.9
United States	1850	No	No	No	12.9
	1880	No	No	No	18.3
1881–1920					
Argentina	1896	Yes	Yes	Yes	1.8 ^b
	1916	No	No	No	9.0
Brazil	1894	Yes	Yes	Yes	2.2
	1914	Yes	Yes	Yes	2.4
Chile	1881	No	No	No	3.1
	1920	No	No	Yes	4.4
Colombia	1918 ^c	No	No	No	6.9
Costa Rica	1912	Yes	Yes	Yes	—
	1919	Yes	No	No	10.6

TABLE 4.2 CONTINUED

(Table continued on next page.)

<i>Period and country</i>	<i>Year</i>	<i>Lack of secrecy in balloting</i>	<i>Wealth requirement</i>	<i>Literacy requirement</i>	<i>Percent of the population voting</i>
Ecuador	1888	No	Yes	Yes	2.8
	1894	No	No	Yes	3.3
Mexico	1920	No	No	No	8.6
Peru	1920	Yes	Yes	Yes	—
Uruguay	1900	Yes	Yes	Yes	—
	1920	No	No	No	13.8
Venezuela	1920	Yes	Yes	Yes	—
Canada	1911	No	No	No	18.1
	1917	No	No	No	20.5
United States	1900	No	No	Yes ^d	18.4
	1920	No	No	Yes	25.1
1921–40					
Argentina	1928	No	No	No	12.8
	1937	No	No	No	15.0
Bolivia	1951	—	Yes	Yes	4.1
Brazil	1930	Yes	Yes	Yes	5.7
Colombia	1930	No	No	No	11.1
	1936	No	No	No	5.9
Chile	1920	No	No	Yes	4.4
	1931	No	No	Yes	6.5
	1938	No	No	Yes	9.4
Costa Rica	1940	No	No	No	17.6
Ecuador	1940	No	No	Yes	3.3
Mexico	1940	No	No	No	11.8
Peru	1940	No	No	Yes	—
Uruguay	1940	No	No	No	19.7
Venezuela	1940	No	Yes	Yes	—
Canada	1940	No	No	No	41.1
United States	1940	No	No	Yes	37.8

a. After having eliminated wealth and education requirements in 1878, Chile instituted a literacy requirement in 1885 that seems to have contributed to a sharp decline in the proportion of the population that was registered to vote.

b. This figure is for the city of Buenos Aires, and likely overstates the proportion that voted at the national level.

c. The information on restrictions refers to national laws. The 1863 Constitution empowered provincial state governments to regulate electoral affairs. Afterward, elections became restricted (in terms of the franchise for adult males) and indirect in some states. It was not until 1948 that a national law established universal adult male suffrage throughout the country. This pattern was followed in other Latin American countries, as it was in the United States and Canada to a lesser extent.

d. There were 18 states—7 in the South and 11 elsewhere—that introduced literacy requirements between 1890 and 1926.

Source: Engerman, Haber, and Sokoloff 2000.

It is a remarkable testament to the extent of political inequality in Latin America and the Caribbean that as late as 1900 none of the countries in the region had a secret ballot system or more than a minuscule fraction of the population casting votes. The Australian ballot (a system of state-provided ballots with provisions to ensure secrecy) was not introduced until 1958 in Chile and 1988 in Colombia. Before this time, political parties directly issued their own ballot papers. Baland and Robinson (2003) show that these circumstances had dramatic effects on voting patterns in Chile, effectively allowing conservative parties to control elections in rural

areas since landowners could use the threat of job dismissal to regulate the voting behavior of workers.

The great majority of European nations, as well as the United States and Canada, achieved secrecy in balloting and universal adult male suffrage long before other countries in the western hemisphere, and the proportion of the populations that voted was always higher (often by as much as 4–5 times). Although many factors may have contributed to the low levels of participation in Latin America, wealth and literacy requirements—in addition to the absence of secrecy—were serious binding constraints. Some countries, such as Barbados, maintained wealth-based suffrage restrictions until the mid-20th century, but most European societies joined the United States and Canada in moving away from economic requirements over the course of the 19th century. However, whereas the states in the United States frequently adopted explicit racial limitations on voting, when they abandoned economic requirements (that is, when the constitutional amendments following the Civil War ended the practice), Latin American countries typically chose to screen according to literacy.

The contrast between the United States and Canada, on the one hand, and the Latin American countries, on the other, was not so evident at the outset. Despite the sentiments popularly attributed to the Founding Fathers, voting in the United States was until early in the 19th century largely a privilege reserved for white men with significant property holdings. By 1815, only four states had adopted universal white male suffrage, but as the movement to do away with political inequality gained strength, the rest of the country followed suit. Virtually all new entrants to the Union extended voting rights to white men (with explicit racial restrictions generally introduced in the same state constitutions that did away with economic requirements), and older states revised their laws in the wake of protracted political debates.

The politically and economically key states of New York and Massachusetts made the break with wealth-based restrictions in the 1820s and the shift to full white adult male suffrage was largely complete by the late 1850s (with North Carolina, Rhode Island, and Virginia being the laggards). The relatively more egalitarian populations of the western states were the clear leaders in the movement. The rapid extension of access to the franchise in these areas not coincidentally paralleled liberal policies toward public schools, taxes, and access to land, as well as other policies that were expected to be attractive to potential migrants.

Labor scarcity was a crucial element in determining the initial level of inequality across New World colonies, and continued to have an important effect on the level of political inequality even within the United States. It is striking that the pioneers in extending suffrage (such as new states being formed in the Argentina, Uruguay, and the United States) did so during periods in which they were striving to attract migrants. The right to suffrage was often one of a set of policy measures that were thought to be attractive to those contemplating relocation. When elites—such as holders of land or other assets—want common men to locate in the polity, they may choose to extend access to privileges and opportunities even in the absence of the threat of civil disorder. In fact, a polity (or one set of elites) may find itself competing with another to attract labor or whatever else is needed. (See Acemoglu and Robinson 2000 for cases in which the franchise was extended under threat of civic disorder.) Alternative explanations, such as the importance of national heritage, are not very useful in identifying why Argentina, Costa Rica, and Uruguay

pulled so far ahead of their Latin American neighbors, or why other British colonies in the New World lagged behind Canada with regard to the pace at which access to suffrage was extended.

Differences in the distribution of political power had a feedback effect on both access to economic opportunities and investment in public goods in such a way as to in turn influence the long-term direction of institutional development and inequality. Educational institutions provide a highly relevant example because increases in a society's levels of schooling and literacy have been related to many socioeconomic changes conducive to growth, including higher labor productivity, more rapid technological change, and higher rates of commercial and political participation. Moreover, in addition to promoting growth, public investment in education also has a major influence on the distribution of the benefits of growth.

Although most New World societies were so prosperous by the early 19th century that they had the material resources needed to support the establishment of a widespread network of primary schools, before the 20th century only a few made such investments on a scale sufficient to serve the general population. The United States and Canada were exceptions in terms of leadership in investing in institutions of primary education. Virtually from the time of early settlement, the North Americans seemed to have generally been convinced of the value of providing children with a basic education, including the ability to read and write. It was common for schools to be organized and funded at the village or town level, especially in New England.

The United States probably had the most literate population in the world by the beginning of the 19th century, but the common school movement—which got under way in the 1820s following the movement to extend the franchise—put the country on an accelerated path of investment in educational institutions. Between 1825 and 1850, nearly every northern state that had not already done so enacted a law strongly encouraging or requiring localities to establish free schools that were open to all children and supported by general taxes (Cubberley 1920). Although the education movement made slower progress in the South, schooling had spread sufficiently by the mid-19th century that more than 40 percent of the school-age population was enrolled and nearly 90 percent of white adults were literate (see [Table 4.3](#)). Schools were also widespread in early 19th century Canada. However, the northernmost English colony lagged behind the United States by several decades with regard to establishing tax-supported schools with universal access, even though its literacy rates were nearly as high.

The rest of the hemisphere trailed far behind the United States and Canada in primary schooling and the attainment of literacy. Even the most progressive Latin American countries, such as Argentina and Uruguay, were more than 75 years behind the United States and Canada. These societies began to boost their investments in public schooling at roughly the same time that they were experiencing an economic boom and intensifying their efforts to attract migrants from Europe, which was well before they implemented a general liberalization of the franchise.

While this association might be interpreted as providing for the socialization of foreign immigrants, it also suggests that elites may have been inclined to extend access to opportunities as part of an effort to attract the scarce labor for which they were directly or indirectly competing. The latter perspective is supported by the observation that major investments in primary schooling did not generally occur in any Latin American country until the national governments provided the funds; in contrast to the pattern in North America, local and state

governments in Latin America were not willing or able to take on this responsibility on their own. Most of these societies therefore did not achieve high levels of literacy until well into the 20th century. Fairly generous support was made available, however, for universities and other institutions of higher learning that were more geared toward the children of the elite.

TABLE 4.3.
Literacy Rates in the Americas, 1850–1950

<i>Country</i>	<i>Year</i>	<i>Age</i>	<i>Rate^a (percent)</i>
Argentina	1869	6 and above	23.8
	1895	6 and above	45.6
	1900	10 and above	52.0
	1925	10 and above	73.0
Barbados	1946	10 and above	92.7
Bolivia	1900	10 and above	17.0
Brazil	1872	7 and above	15.8
	1890	7 and above	14.8
	1900	7 and above	25.6
	1920	10 and above	30.0
	1939	10 and above	57.0
British Honduras (Belize)	1911	10 and above	59.6
	1931	10 and above	71.8
Chile	1865	7 and above	18.0
	1875	7 and above	25.7
	1885	7 and above	30.3
	1900	10 and above	43.0
	1925	10 and above	66.0
	1945	10 and above	76.0
Colombia	1918	15 and above	32.0
	1938	15 and above	56.0
	1951	15 and above	62.0
Costa Rica	1892	7 and above	23.6
	1900	10 and above	33.0
	1925	10 and above	64.0
Cuba	1861	7 and above	23.8 (38.5, 5.3)
	1899	10 and above	40.5
	1925	10 and above	67.0
	1946	10 and above	77.9

(Table continued on next page.)

TABLE 4.3 CONTINUED

<i>Country</i>	<i>Year</i>	<i>Age</i>	<i>Rate^a (percent)</i>
Guatemala	1893	7 and above	11.3
	1925	10 and above	15.0
	1945	10 and above	20.0
Honduras	1887	7 and above	15.2
	1925	10 and above	29.0
Jamaica	1871	5 and above	16.3
	1891	5 and above	32.0
	1911	5 and above	47.2
	1943	5 and above	67.9
	1943	10 and above	76.1
Mexico	1900	10 and above	22.2
	1925	10 and above	36.0
	1946	10 and above	48.4
Paraguay	1886	7 and above	19.3
	1900	10 and above	30.0
Peru	1925	10 and above	38.0
Puerto Rico	1860	7 and above	11.8 (19.8,3.1)
Uruguay	1900	10 and above	54.0
	1925	10 and above	70.0
Venezuela	1925	10 and above	34.0
Canada	1861	All	82.5
English-majority counties	1861	All	93.0
French-majority counties	1861	All	81.2
United States			
North Whites	1860	10 and above	96.9
South Whites	1860	10 and above	91.5
Total population	1870	10 and above	80.0 (88.5, 21.1)
	1890	10 and above	86.7 (92.3, 43.2)
	1910	10 and above	92.3 (95.0, 69.5)

a. In some cases, the figures for whites and nonwhites, respectively, are reported in parentheses.

Source: Engerman, Haber, and Sokoloff 2000.

Two mechanisms help explain why extreme levels of inequality depressed investments in schooling. First, in settings where private schooling predominated or parents paid user fees for their children, greater wealth or income inequality generally reduced the proportion of the school-age population enrolled, which in turn held per capita income constant. Second, greater inequality likely exacerbated the collective-action problems associated with the establishment and funding of universal public schools, either because the distribution of benefits across the population was quite different from the incidence of taxes and other costs or simply because the heterogeneity of the population made it more difficult for communities to reach consensus on such public projects. Where the wealthy enjoyed disproportionate political power, they were able to procure schooling services for their own children and to resist being taxed to underwrite or subsidize services for others. Although the children of the elite may have been well educated, not everyone was so fortunate. Furthermore, it is a fact that no society has ever realized high levels of literacy without public schools.

Another example of how the evolution of institutions in Latin America contributed to the persistence of extreme inequality is land policy. Virtually all the economies in the Americas had ample supplies of public land well into the 19th century and beyond. Since the respective governments of each colony, province, or nation were regarded as owners of this resource, they were able to influence the distribution of wealth—as well as the pace of settlement for effective production—by implementing policies to control the availability of land, set prices, establish minimum or maximum acreages, provide credit for such purposes, and design tax systems. Because agriculture was the dominant sector everywhere, questions of how best to employ this public resource for the national interest and how to make the land available for private use were the subject of policy debates, if not political struggles, in many countries. Land policy also became an instrument with which to shape the labor force, because it either encouraged immigration by making land readily available or influenced the regional distribution of labor (or supply of wage labor) by limiting access to and raising the price of land.

There were never major obstacles to acquiring land in the United States, the terms of which became easier over the course of the 19th century (Gates 1968). The well-known Homestead Act of 1862—which essentially made land free in plots suitable for family farms to all those who settled and worked the land for a specified period—was perhaps the culmination of a policy of promoting widespread access to land. Canada pursued similar policies: the Dominion Lands Act of 1872 closely resembled the Homestead Act in both spirit and substance. Argentina and Brazil instituted similar changes in the second half of the 19th century as a way to encourage immigration, but these efforts were much less directed toward providing land to smallholders, and were thus less successful, than the programs in the United States and Canada.

In Argentina, for example, a number of factors explain the contrast in outcomes. First, the elites of Buenos Aires—whose interests favored keeping scarce labor in the province rather than in the capital city—were much more effective at weakening or blocking programs than were their urban counterparts in North America. Second, even those policies nominally intended to broaden access to land tended to involve large grants to land developers (with the logic that allocative efficiency could best be achieved through exchanges among private agents) or transfers to occupants who were already using the land (including those who were grazing livestock). Policies in Argentina thus generally conveyed public lands to private owners in much larger and concentrated holdings than did policies in the United States and Canada. Third, the processes by

which large landholdings might have broken up in the absence of economies of scale may have operated very slowly in Argentina. Once land was in private hands, its potential value for grazing may have set a floor on land prices that was too high for immigrants and other ordinary would-be farmers to manage, especially given the general underdevelopment of mortgage and financial institutions.

Argentina, Canada, and the United States all had an extraordinary abundance of virtually uninhabited land to transfer to private hands in order to bring this public resource into production and serve other general interests. In societies such as Mexico, however, the issues at stake with regard to land policy were very different. Good land was relatively scarce and labor was relatively abundant. Here the lands in question had long been controlled by indigenous peoples, but without the existence of individual private property rights.

Mexico was not unique in pursuing policies, especially in the final decades of the 19th and the first decade of the 20th century, that had the effect of conferring ownership of much of this land to large nonindigenous landholders. The 1856 Ley Lerdo and the 1857 Constitution had established methods of privatizing public lands in a manner that could originally have been intended to help indigenous farmers enter a national land market and commercial economy. Under the regime of Porfirio Díaz, however, these laws became the basis for a series of new statutes and policies. Between 1878 and 1908, regulations resulted in a massive transfer of public lands (more than 10.7 percent of the national territory) to large holders, such as survey and land development companies, either in the form of outright grants for services rendered by the companies or for prices set by decree.

Table 4.4 presents estimates of the fractions of household heads (or a near equivalent) that owned land in agricultural areas in the late 19th and early 20th centuries in Argentina, Canada, Mexico, and the United States. The figures indicate enormous differences across the four countries regarding the prevalence of land ownership among the adult male population in rural areas. On the eve of the Mexican Revolution, the figures from the 1910 census suggest that only 2.4 percent of household heads in rural Mexico owned land. This figure is astoundingly low. The dramatic land policy measures taken in Mexico at the end of the 19th century may have succeeded in privatizing most of the public lands, but they left the vast majority of the rural population without any land at all. The evidence obviously conforms well with the idea that in societies that began with extreme inequality (such as Mexico), institutions evolved in such a way as to greatly advantage the elite in terms of access to economic opportunities, and thus contributed to the persistence of extreme inequality over time.

In contrast, the proportion of adult males who owned land in rural areas was quite high in the United States, at just below 75 percent in 1900. Although the prevalence of land ownership was markedly lower in the South, where African Americans were disproportionately concentrated, the overall picture is one of land policies (such as the Homestead Act) that provided broad access to this fundamental type of economic opportunity. Canada had an even better record, with nearly 90 percent of household heads owning the agricultural lands they occupied in 1901. The estimates of landholding in these two countries support the notion that land policies made a difference, especially when compared to Argentina. The rural regions of Argentina constitute a set of frontier provinces, where one would expect higher rates of ownership than in Buenos

Aires. The numbers, however, suggest a much lower prevalence of land ownership than in the two North American economies.

TABLE 4.4.

Landholding in rural regions of Mexico, the United States, Canada, and Argentina in the early 1900s (in percent)

<i>Country, year, and region</i>	<i>Proportion of household heads who own land^a</i>
Mexico, 1910	
North Pacific	5.6
North	3.4
Central	2.0
Gulf	2.1
South Pacific	1.5
Total rural Mexico	2.4
United States, 1900	
North Atlantic	79.2
South Atlantic	55.8
North Central	72.1
South Central	51.4
West	83.4
Alaska/Hawaii	42.1
Total United States	74.5
Canada, 1901	
British Columbia	87.1
Alberta	95.8
Saskatchewan	96.2
Manitoba	88.9
Ontario	80.2
Quebec	90.1
Maritime ^b	95.0
Total Canada	87.1
Argentina, 1895	
Chaco	27.8
Formosa	18.5
Misiones	26.7
La Pampa	9.7
Neuquén	12.3
Río Negro	15.4
Chubut	35.2
Santa Cruz	20.2
Tierra del Fuego	6.6

a. Land ownership is defined as follows: In Mexico, household heads who own land; in the United States, farms that are owner-operated; in Canada, occupiers of farmland who own that land; and in Argentina, the ratio of landowners to the number of males between the ages of 18 and 50.

b. The Maritime region includes Nova Scotia, New Brunswick, and Prince Edward Island.

Source: Engerman and Sokoloff 2002.

Nevertheless, all of these countries were far more effective than was Mexico in making land ownership available to the general population. The contrast between the United States and Canada, with their practices of offering easy access to small units of land, and the rest of the Americas (as well as the contrast between Argentina and Mexico) is consistent with the

argument that the initial extent of inequality influenced the way in which institutions evolved, and in turn fostered persistence in the degree of inequality over time.

Land policies in Mexico and Argentina reflect another general pattern in the way that institutions evolved. As technology and market conditions changed, institutions adjusted because societies—as well as the segments of the populations that had real influence—sought to take advantage of the new circumstances. The late 19th century was a period of falling transportation costs and extraordinary growth in world trade. Among the greatest beneficiaries of this development were relatively land-abundant countries in the Americas, such as Argentina and Uruguay, which were now in a better position to exploit their strong comparative advantage in agriculture. Increased access to vast international markets in chilled beef, grains, and other agricultural products dampened ratios of wage rates to land rents (see the estimates of Williamson 1999, O'Rourke and Williamson 2002, and Bértola and Porcile 2002). Given the already high concentration of land ownership, the effect of this improved integration of world markets was likely another factor that reinforced inequality. In his assessment of the case of Argentina, Scobie (1964, p.) certainly thought this to be the case:

Those whose forebears had been able to acquire and keep enormous land grants or who now secured estates enjoyed a gilded existence. Lands whose only worth had been in their herds of wild cattle, land which could be reached by horseback or oxcart, land occupied largely by hostile Indians underwent a total transformation. British capital had built railroads. Pastoral techniques had been improved and the resources of the pampas were being used more thoroughly. Immigrants, newly arrived from European poverty, were available...as sharecroppers, tenant farmers, or peons to raise corn, wheat, or alfalfa. Under such conditions, land provided an annual return of from 12 to 15 percent to the owner and land values often rose 1000 percent in a decade. Those who already had land, power, or money monopolized the newly developed wealth of the pampas.

By creating new market opportunities in Latin America and increasing the value of land, the integration of world markets may have stimulated efforts by elites to influence the sorts of land policies discussed above, with the aim of capturing a greater share of potential gains for themselves. This flexibility in altering institutions to serve the purposes of the politically and economically powerful in response to changing circumstances is also evident in many other areas of economic policy, such as the regulation of financial institutions and foreign trade. What was good for the elites was likely not good for reducing inequality or spurring economic growth. In terms of these aspects, the Latin American economies fell far behind their neighbors to the north over the course of the 19th century.

4.4. The 20th century

This chapter has suggested that Latin America entered the 20th century with very high levels of inequality, which virtually all of the evidence discussed elsewhere in this volume indicates persisted during the rest of the century. For example, the estimates of Calvo, Torre, and Szwarcberg (2002) for Argentina suggest that the extent of inequality changed little during the

20th century. This is consistent with the evidence in Diaz-Alejandro (1970) and Randall (1978). A study of inequality in Colombia since the 1930s by Londoño (1995) likewise argues that inequality in the 1990s was at about the same level as it was in 1938. Similarly, a study of income distribution in Mexico by Reynolds (1970) found that little change occurred between the 1940s and the late 1960s.

Explaining the persistence of inequality is again problematic. During the course of the 20th century, Latin American societies underwent significant social, economic, and political changes. Urbanization increased considerably and the role of agriculture declined. Thus, the highly inequalitarian pattern of landownership that characterized Latin America ought to have become less and less significant as a determinant of income inequality. In contrast, educational attainment still lagged behind that of North America, and there was a large amount of catching up to do, as the numbers in Table 4.3 indicate.

In addition, modernization moved nearly all countries in the direction of more open and democratic politics. Even if democracy was perhaps relatively shallow and unconsolidated, it seems to have undergone a significant change compared to the 19th century. Moreover, several countries, including Bolivia, Mexico, and Nicaragua (and possibly Colombia, depending on the interpretation of *La Violencia*, the period of violence in the 1950s) underwent dramatic social revolutions, while others, such as Peru after 1968, implemented radical redistributive policies.

This pattern in Latin America also contrasts with what we know about Europe, where economic inequality appears to have fallen dramatically during most of the 20th century (Morrison 2000). It is also different from the pattern seen in the United States, where measures of inequality indicate a marked decline from the 1930s through the 1960s, before a recent upturn began (see, for example, Goldin and Katz 1999).

What accounts for the radically different courses of countries throughout the Americas? Why did inequality apparently remain unchanged in the face of the types of social and economic transformations that led to falling inequality elsewhere? Unfortunately, there is little research on this topic, and given the severe limitations of the evidence it is possible only to offer some intelligent, but nevertheless speculative, conjectures. (These are explored in somewhat more depth in the next two chapters of this report.)

First, it is surely the case that mass education has been of low quality in Latin America, especially when compared to North America. Pritchett (2001) has pointed out that mass expansions of educational enrollment in the last 40 years appear to be uncorrelated with economic growth, which is consistent with the idea that educational expansion can take place without radically transforming inequality. The most plausible explanations for Pritchett's findings are either that educational quality is often so low that there is no impact on development, or that the social payoff from education depends on other institutions in society. This latter idea may also be important for explaining the disappointing impact of educational expansion on inequality in Latin America. Despite the increase in education, there are still deeply ingrained patterns of social exclusion and discrimination in Latin America that are hard to break down and which prevent poor people from becoming upwardly mobile. This may be why even apparently radical changes, such as the Bolivian revolution, end up having little effect on inequality (see Kelley and Klein 1981).

Another possible explanation for the failure of educational reform to reduce inequality is the type of development strategy that evolved in Latin America starting in the 1930s. This approach, which was based on looking inward, import substitution, and isolation from world markets, may have reduced incentives for investments in education and skill building. It is significant that countries that adopted export-oriented development strategies in the 20th centuries (for example, Mauritius and Singapore) often also experienced declining inequality.

These effects may have been reinforced by the factor endowments of Latin America. Even in the 20th century, many economies were dominated by the export of primary commodities, such as oil in Venezuela; coffee in Brazil, Colombia, and Central America; bananas in Central America; sugar and bananas in the Caribbean; and copper and nitrates in Chile. It has been argued (for example, by Leamer and others 1999) that commodity-intensive development reduces the returns on education, which may have been another factor in reducing the impact of educational expansion on inequality.

Finally, it is also possible that in the presence of imperfect financial markets, changes in the structure of the economy from agriculture to industry have little effect on inequality. Although there are no comparative data on this connection, it seems likely that the ownership of industry in Latin America is much more concentrated, and financial markets much less developed, than in North America. Haber (2002a) has shown how banking was very tightly controlled in Mexico compared to the United States. For example, in 1910 the United States had roughly 25,000 banks and a highly competitive market structure. In contrast, Mexico had 42 banks, 2 of which controlled 60 percent of total banking assets and virtually none of which actually competed with another bank. This example, and others like it, suggest that financial markets in Latin America were also very thin and monopolized (see the essays in Haggard, Lee, and Mayfield 1993). Without access to financial markets, poor people stayed poor.

Although the focus of this chapter is economic inequality, it is hard to separate this issue from political inequality. Political inequality both causes and is caused by economic inequality. Just as in the 19th century, one of the central reasons for the persistence of inequality in the 20th century may be the prevalence of authoritarianism in Latin America. Although democratization has taken place throughout the region, this process has usually been unconsolidated and limited in what it can achieve.

Moreover, those popular democratic parties that have been able to obtain power have also often been driven by narrow political considerations and opted for policies that were dramatic in the short run but conveyed little in the way of lasting benefit. For example, despite the fact that policy under the first administration of Perón in the late 1940s and early 1950s significantly reduced inequality, these effects quickly unraveled when the military took over in 1955 and did not lead to lasting improvements in terms of inequality. Chapter 5 discusses these issues further.

4.5. The 21st century and beyond

If the roots of Latin American inequality lie deep in history, is there anything that can be done about it today? What do historical processes tell us about the future evolution of inequality in

Latin America? Certainly the recognition of the powerful factors that shaped and allowed extreme inequality to persist for centuries in Latin America does not inspire optimism, but a historical perspective reminds us that changes that take a generation or two to be realized should perhaps not be considered to be so slow. Although it is impossible to conceive of a quick-fix solution, there is abundant and impressive historical and cross-country evidence that democracy (or political equality), equality in the distribution of human capital, and economic equality tend to develop together.

It is generally difficult to attack economic inequality directly (for example through redistribution measures) without harming some of the incentive structures thought critical to ensure processes of economic growth. For that and other reasons, more indirect policies that would broaden effective access to economic opportunities—not just for the current population, but, more importantly, for future generations—would be preferable. Such policies would include not only major investments in extending access to high-quality education, but also efforts to provide more equal access to political influence and to the protection of laws more generally. The historical experiences of Europe and the United States suggest that the most reliable ways to induce falling inequality are to promote sustained educational investment and asset accumulation by the poor and to ensure avenues for social and economic mobility. In general, this may entail solving market and other institutional failures that discourage the poor and their children from making the sorts of investments that would help them succeed in an increasingly global economy.